

Alibaba Group Holding Limited

BABA | October 4, 2026

HOLD

Fair value (12-mo horizon reference)	\$132.00
Current price (October 2, 2026 close)	\$105.85
Implied upside / downside	+25%
Verdict	HOLD

Investment Thesis

Alibaba is two businesses in one security: a slow-growing but enormously cash-generative Chinese commerce franchise anchored by Taobao and Tmall, and an AI-cloud growth engine that just printed its fastest growth in 22 quarters. In the June quarter, AI Cloud and Compute revenue rose 45% year over year to RMB48.4 billion, with AI-related products compounding at triple-digit rates for a twelfth straight quarter and now representing about 35% of external cloud revenue. The investment debate is whether this cloud reacceleration is a genuine multi-year S-curve or a capex front-running exercise that shareholders pay for before the revenue fully catches up.

Our judgment: the cloud growth is real -- external customer cloud revenue grew at the same 45%, and cloud adjusted EBITA more than doubled with margins expanding to roughly 12% -- but the cost of that growth is severe. Capital expenditure jumped 75% to RMB67.7 billion in the June quarter, free cash flow swung to a RMB44.7 billion outflow, and group net income fell 75%. Management expects AI-related spending to break even in about three years; we haircut that timeline materially. The 20-gigawatt global data-center ambition announced at Apsara in September 2026 and the in-house Zhenwu V900 accelerator slated for Q1 2027 show strategic coherence -- Alibaba is building the full AI stack from silicon to models -- but the undisclosed current gigawatt base makes the cost trajectory genuinely hard to model, and that opacity is a discount, not a neutral.

Commerce remains the ballast: group revenue of RMB269 billion in the June quarter, up 9%, was the fastest in three years, and the buyback continues to retire shares. But ADR holders must confront the structure: the VIE arrangement means a contractual claim, not direct ownership, and we apply an explicit investment haircut for it on top of a 250bp China country-risk premium. At \$105.85 the market offers a fair price for a genuinely bifurcated story -- real AI-cloud option value, capped by governance and sovereign risk. HOLD. We would need the stock materially below \$100, or verifiable evidence that AI capex is converting into cash flow rather than consuming it, to turn more constructive.

Business Overview

Alibaba Group, headquartered in Hangzhou, China, is the country's largest e-commerce and cloud company. The commerce business centers on Taobao (consumer marketplace) and Tmall (brand flagship platform), supplemented by international commerce -- AliExpress, Lazada, and Trendyol -- plus Cainiao logistics and a digital media portfolio. The cloud business, renamed AI Cloud and Compute, is China's largest public cloud and the engine of the current investment story, with the Qwen family of large language models and the T-Head semiconductor unit rounding out a full-stack AI strategy.

US investors access Alibaba through American Depositary Receipts. The operating assets in China are held through a variable interest entity (VIE) structure: ADR holders own shares in a Cayman Islands holding company with contractual -- not direct equity -- claims on the Chinese operating entities. This is a legal fact of the investment, and our valuation treats it as one: the VIE appears in cash-flow modeling, anchors part of the bear case, and carries a dedicated investment haircut.

Forward Outlook

The next three years will be decided in the data centers, not the marketplaces. If AI-related products sustain triple-digit growth and cloud EBITA margins march from ~12% toward 20%+, Alibaba owns a genuine second growth engine with AWS-like economics -- and the in-house silicon (Zhenwu V900) plus the 20GW buildout are exactly the moves a serious contender makes. Our base case assumes cloud revenue compounds above 20% with gradual margin normalization; our skepticism concentrates on the capex duration and the payback period, which management's three-year breakeven claim understates, in our judgment.

Commerce we model as a mid-single-digit grower with take-rate stability: Taobao/Tmall face relentless competition from Pinduoduo and Douyin, but the franchise's scale, logistics integration, and merchant ecosystem make share losses gradual rather than sudden. International commerce is the higher-growth, lower-margin offset.

The geopolitical vector is the swing factor no model fully captures. US export controls on advanced accelerators are precisely the gap Alibaba's in-house chips are designed to fill; further tightening would slow the AI buildout, while any easing would be a material positive. We do not forecast policy; we price the risk at 250bp and size the bear case accordingly.

Valuation

We value Alibaba on a probability-weighted scenario DCF with a 250bp China country-risk premium in the discount rate and an explicit VIE investment haircut applied to the weighted fair value.

Scenario	Fair value	Key assumptions
Bear	\$45	AI-cloud growth stalls under export controls; capex overbuild with weak payback; commerce share losses accelerate; regulatory escalation; VIE discount widens sharply.

Scenario	Fair value	Key assumptions
Base	\$115	Commerce grows mid-single digits with stable take rates; cloud compounds above 20% with EBITA margins normalizing toward 20%; buyback continues; AI capex payback lands later than management claims but lands.
Bull	\$275	AI Cloud becomes an AWS-scale franchise with 25%+ margins; commerce take rates expand on AI-driven monetization; geopolitical overhang eases; VIE concerns fade as cash returns compound.

The 25% / 50% / 25% probability-weighted combination of these scenarios, after the VIE investment haircut, anchors our \$132.00 target. The bear case at \$45 sits well below the current \$105.85 price, as our framework requires: a genuinely adverse outcome for this name is a severe one, reflecting how much of the equity value rests on assumptions about Chinese regulatory stability and AI-capex payback that could both disappoint at once.

Key Risks

- VIE structure: ADR holders' claim is contractual; any adverse legal or regulatory ruling on VIE enforceability would impair value directly.
- US-China technology decoupling: tighter export controls on accelerators and manufacturing equipment would slow the AI-cloud buildout.
- Capex overbuild: RMB67.7 billion of quarterly capex with negative free cash flow; if AI demand disappoints, the spending is sunk.
- Commerce competition: Pinduoduo and Douyin continue to take share and pressure take rates in core Chinese retail.
- Domestic regulatory risk: the post-2020 crackdown demonstrated Beijing's willingness to intervene; fintech, data, and platform regulation remain live risks.
- AI monetization timing: twelve quarters of triple-digit AI-product growth is real, but enterprise AI budgets in China could normalize faster than capacity comes online.

What Would Change Our Mind

- Sustained positive free cash flow alongside 30%+ cloud growth -- proof the AI capex is converting, not just consuming.
- Cloud adjusted EBITA margins crossing 20% on a sustained basis.
- A credible legal or structural resolution clarifying VIE enforceability for ADR holders.
- Commerce take-rate expansion or demonstrable share stabilization against Pinduoduo and Douyin.
- Material easing of US export controls on AI accelerators.

- Conversely, a further leg down in commerce growth combined with widening FCF outflows would move us toward REDUCE.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon -- 10 years for most businesses -- weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins -- never peak margins -- and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants.

For international businesses we add an explicit country-risk premium to the discount rate and benchmark multiples against regional peers facing similar risks, never US peers alone; structural risks are modeled in cash flows and the bear case. For Alibaba we add a 250bp China country-risk premium. The VIE structure -- through which ADR holders own contractual claims on the operating companies rather than direct equity -- is a structural risk we model explicitly: it features in the bear case, and we apply a dedicated investment haircut to the probability-weighted fair value to reflect that ADR holders' claim is contractual, not direct.

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